IP-1991 Opened the Door for Foreign Direct Investment

At the time of Independence, India was flush with foreign reserves in the form of sterling balances. India followed a reasonably liberal foreign investment policy during the First Plan period. However, by the time the Second Plan (1957–1962) was under implementation, the foreign exchange situation started deteriorating and India jumped on the bandwagon of self-reliance—with the intent of manufacturing everything in the country. The foreign exchange situation became very bad in the Third Plan and India made its first substantive devaluation in 1966.

FERA-1973 shut the door on foreign investments and foreign technology imports. The Janata government made even invested foreign companies like IBM leave the country by tightening the FERA regime. While foreign direct investment (FDI) globally was galloping in the 1980s, India's performance was pathetic. The worldwide flow of FDI was increasing at rates higher than 20 per cent in the four years prior to 1991. The annual growth rate of FDI between 1983 and 1989 was 29 per cent; India's growth of FDI was 0.1 per cent in 1980–82 and 0.2 per cent from 1985 to 1987.

The government initiated blockbuster FDI reforms through IP-1991. A long list of high-priority industries was drawn up (Annexure III of IP-1991 contained thirty-four industries) and FDI with controlling interest of 51 per cent was permitted in automatic approval mode. The Foreign Investment Promotion Board (FIPB) was created and FERA-1973 was amended to deliver bottleneck-free approvals. Other liberalization measures included freeing up components, raw materials and intermediate goods; allowing knowhow fees and royalties to be paid liberally; and permitting the establishment of trading companies.

IP-1991 led to the steady liberalization of the FDI regime in India. Progressively, most industries were opened for automatic FDI inflows. Currently, more than 95 per cent of all FDI flows are under automatic route.